

Notes: Denis, McConnell, Ovtchinnikov, & Yu (JF, 2003)

S&P 500 Index Additions and Earnings Expectations

Contents

1	Big picture	3
2	Data and measurement (index additions, forecasts, and realized earnings)	4
2.1	Why S&P 500 additions are the right laboratory	4
2.2	Index-addition sample	4
2.3	Announcement-period stock returns	4
2.4	I/B/E/S forecast data	5
2.5	Current-year and one-year-ahead timing rule	5
2.6	Preannouncement and postannouncement forecasts	5
2.7	Benchmark groups	5
2.8	Sample sizes for forecast tests	6
2.9	Realized earnings data	6
3	Models and empirical specifications	7
3.1	Market-model excess return	7
3.2	Raw EPS forecast change	7
3.3	Forecast change standardized by price	7
3.4	Forecast change standardized by preannouncement EPS	7
3.5	Benchmark-adjusted forecast changes	8
3.6	Forecast error	8
3.7	Standardized forecast errors	8
3.8	Statistical tests	8
4	Identification and empirical design	9
4.1	What identifies the information content	9
4.2	Why benchmark firms are essential	9
4.3	Why realized earnings matter	9
4.4	What the design cannot distinguish	9
4.5	Relation to downward-sloping demand curves	10
4.6	Sensitivity analyses	10
5	Tables and figures	11
5.1	Figures 1–2: EPS forecast revisions around S&P 500 additions	11
5.2	Table I: Changes in analysts' EPS forecasts	11
5.3	Table II: EPS forecast errors for companies added to the S&P 500 Index	12
6	Short summary	13
7	Conclusion	14
7.1	Core conclusion	14
7.2	Economic intuition	14

7.3	Takeaway	14
-----	--------------------	----

1 Big picture

- **Question.** Are S&P 500 index additions really “information-free” events, or do they coincide with positive news about firms’ future earnings?
- **Why this matters.** A large literature interprets the positive price reaction to S&P 500 additions as evidence that demand curves for stocks slope downward. That interpretation relies on the premise that index inclusion does not reveal or create information about future firm value.
- **Alternative hypothesis.** Index inclusion may improve performance or reveal expected improvements. The mechanism could be increased investor scrutiny, higher managerial reputational stakes, greater analyst attention, or S&P’s selection of firms whose future prospects are better than the market had appreciated.
- **Main empirical test.** The authors examine whether analysts’ EPS forecasts rise after index addition and whether realized EPS beats preaddition forecasts relative to benchmark firms.
- **Sample.** S&P identifies 314 additions from 1987 to 1999. After excluding additions due to spinoffs, mergers, name changes, and one uncertain name case, the eligible sample is 236 additions.
- **Stock-price result.** The average announcement-period excess return is 4.65% over the two-day window beginning on the initial announcement date, with $p < 0.001$. The average 30-trading-day post-inclusion cumulative excess return is an insignificant -0.4%, so the initial price increase does not appear to be quickly reversed.
- **Forecast-sample result.** I/B/E/S has current-year forecast data for 205 additions and one-year-ahead forecast data for 139 additions.
- **Current-year forecast result.** In Figure 1, 52.20% of additions have positive current-year EPS forecast changes, compared with 39.84% for all other firms and 44.73% for industry-size-liquidity matched firms.
- **One-year-ahead forecast result.** In Figure 2, 51.08% of additions have positive one-year-ahead EPS forecast changes, compared with 42.18% for all other firms and 46.82% for matched firms.
- **Table I result.** The raw EPS forecast revision for additions is mildly negative and insignificant, but benchmark firms experience much larger downward revisions. Relative to all other firms, current-year additions have a +\$0.0651 forecast-change difference; one-year-ahead additions have a +\$0.0565 difference.
- **Realized earnings result.** Table II shows that newly added firms’ realized EPS falls short of preaddition forecasts, but by much less than benchmark firms. For current-year EPS, the raw forecast error is -\$0.1441 for additions versus -\$0.2951 for all other firms and -\$0.2433 for matched firms.
- **Central conclusion.** S&P 500 inclusion is not safely treated as an information-free event. Tests of downward-sloping demand curves based on S&P additions must control for apparent information content.

2 Data and measurement (index additions, forecasts, and realized earnings)

2.1 Why S&P 500 additions are the right laboratory

- S&P publicly states that index additions and deletions do not reflect an opinion about investment merit.
- Prior studies therefore treat S&P additions as a setting where price changes can be attributed to demand shocks rather than information.
- The paper challenges that maintained assumption by asking whether earnings expectations and realized earnings improve around the same event.

Interpretation. If forecasts and realized earnings improve after additions, the event cannot be considered purely demand-driven. The price reaction could partly reflect information about cash flows.

2.2 Index-addition sample

- The initial S&P 500 addition universe covers 1987-1999 and contains 314 stocks.
- The authors exclude additions tied to existing S&P 500 firms:
 - spinoffs from already included parents;
 - merger-related replacements;
 - name changes;
 - one uncertain name case.
- After exclusions, 236 additions are eligible for analysis.
- Daily stock returns are from CRSP.
- Analyst forecasts and realized earnings are from I/B/E/S.

Interpretation. The exclusions are important because a spinoff or merger replacement may not represent a truly new firm becoming part of the S&P 500 universe.

2.3 Announcement-period stock returns

- The stock-return event study uses a market-model procedure with a value-weighted market index.
- Market-model parameters are estimated after the announcement, from trading day +31 through trading day +211.
- The announcement-period excess return is calculated over the two-day interval beginning on the first announcement date and including the following day.
- Seven firms are dropped because daily returns are unavailable on the announcement date.

Interpretation. The post-announcement estimation window helps avoid contaminating the beta estimates with the index-addition event itself.

2.4 I/B/E/S forecast data

- The authors use annual EPS forecasts.
- The main forecast measure is the median analyst EPS forecast for a given firm and fiscal year.
- I/B/E/S identifies the fiscal year to which each forecast applies.
- The study focuses on current-year and one-year-ahead EPS forecasts.
- Analysts rarely make forecasts more than two years ahead, so the paper does not attempt to analyze longer horizons.

Interpretation. Median forecasts reduce the impact of outlier analyst forecasts and are used as a proxy for investor expectations.

2.5 Current-year and one-year-ahead timing rule

- A forecast is considered current-year only if the index-inclusion announcement occurs at least three months before the end of the current fiscal year.
- If the announcement occurs within the final three months of the fiscal year, the next fiscal year's forecast is treated as the current-year forecast.
- The following fiscal year's forecast is then treated as the one-year-ahead forecast.

Interpretation. This avoids treating a post-fiscal-year forecast as a meaningful forecast for that almost-completed year.

2.6 Preannouncement and postannouncement forecasts

- The preannouncement forecast is based on each continuing analyst's forecast closest to the announcement month, provided it is no earlier than four months before the announcement month.
- The postannouncement forecast uses each continuing analyst's first forecast after the announcement month, provided it is no later than four months after the announcement month.
- New analysts who initiate coverage after the announcement month are excluded from the main forecast-change analysis.
- The average number of analysts per company is 10.47, with a median of 10, a maximum of 38, and a minimum of 2.

Interpretation. Excluding new analysts makes the forecast change more comparable: the authors ask how existing analysts revise expectations, not whether the firm attracts more optimistic analysts after joining the index.

2.7 Benchmark groups

The paper uses two benchmark groups.

- **All Other Firms:** all I/B/E/S firms with contemporaneous current-year or one-year-ahead forecasts over the same pre- and postannouncement intervals as the addition firms.
- **ISL-Matched Firms:** firms matched by industry, size, and liquidity.

The ISL match is built by sorting I/B/E/S firms into:

- 12 Fama-French industry portfolios;

- three market-capitalization portfolios within industry;
- three liquidity portfolios within each industry-size cell, where liquidity is based on five-year average monthly trading volume divided by shares outstanding.

This produces $12 \times 3 \times 3 = 108$ portfolios.

Interpretation. The benchmarks control for the general tendency of analysts to revise forecasts downward as the fiscal year progresses. The ISL match also controls for characteristics S&P itself says matter for index selection: industry, market value, and trading activity.

2.8 Sample sizes for forecast tests

- Of 236 eligible additions, 13 have no I/B/E/S forecast.
- Another 18 lack at least one necessary pre- or postannouncement current-year forecast.
- The current-year forecast-change sample therefore contains 205 additions.
- The one-year-ahead forecast-change sample contains 139 additions because I/B/E/S lacks one-year-ahead forecasts for another 66 firms.

Interpretation. The forecast analyses are not based on the full eligible sample, but the sample sizes remain large enough to compare additions with broad I/B/E/S benchmark groups.

2.9 Realized earnings data

- Realized EPS is taken from I/B/E/S for the fiscal period corresponding to the preannouncement forecast.
- Forecast errors compare realized EPS with the preannouncement forecast.
- The same two benchmark groups are used for realized earnings.
- P-values for forecast-error differences use a bootstrap procedure because forecast-error distributions are skewed.

Interpretation. Realized earnings tests check whether forecast improvements are consistent with ex post operating outcomes, not merely with analyst optimism.

3 Models and empirical specifications

3.1 Market-model excess return

Let $R_{i,t}$ be stock i 's return and $R_{m,t}$ be the value-weighted market return. The market model is

$$R_{i,t} = \alpha_i + \beta_i R_{m,t} + \varepsilon_{i,t}. \quad (1)$$

The excess return around the index-addition announcement is

$$ER_{i,t} = R_{i,t} - \hat{\alpha}_i - \hat{\beta}_i R_{m,t}. \quad (2)$$

The two-day announcement-period excess return is

$$APER_i = \sum_{t=0}^1 ER_{i,t}, \quad (3)$$

where $t = 0$ is the initial announcement date.

Interpretation. This measures whether the addition announcement is associated with a positive abnormal return after controlling for normal market exposure.

3.2 Raw EPS forecast change

Let $FE_{i,-}$ be the preannouncement median EPS forecast and $FE_{i,+}$ be the postannouncement median EPS forecast. The raw forecast change is

$$\Delta FE_i = FE_{i,+} - FE_{i,-}. \quad (4)$$

Interpretation. A positive value means that analysts raised their EPS forecast after the firm was announced for S&P 500 inclusion.

3.3 Forecast change standardized by price

The price-standardized forecast change is

$$\Delta PFE_i = \frac{FE_{i,+} - FE_{i,-}}{P_{i,-}}, \quad (5)$$

where $P_{i,-}$ is the stock price at the end of the month before the announcement month.

Interpretation. A five-cent EPS revision matters more for a low-price stock than a high-price stock. This normalization puts EPS revisions on a return-like scale.

3.4 Forecast change standardized by preannouncement EPS

For firms with a positive preannouncement forecast, the EPS-standardized forecast change is

$$\Delta EFE_i = \frac{FE_{i,+} - FE_{i,-}}{FE_{i,-}}. \quad (6)$$

Interpretation. This expresses the revision as a percentage of the preannouncement earnings forecast.

3.5 Benchmark-adjusted forecast changes

For benchmark group $b \in \{\text{All Other, ISL}\}$, define the benchmark-adjusted forecast change as

$$D_i^b = \Delta \text{FE}_i - \overline{\Delta \text{FE}_i}^b, \quad (7)$$

where $\overline{\Delta \text{FE}_i}^b$ is the average change in EPS forecasts for benchmark firms associated with addition firm i 's event window.

Interpretation. The benchmark adjustment asks whether analysts revise addition firms more positively than comparable firms whose forecasts are measured over the same time interval.

3.6 Forecast error

Let AE_i be realized EPS for the same fiscal period. The forecast error is

$$\text{FError}_i = \text{AE}_i - \text{FE}_{i,-}. \quad (8)$$

- A negative forecast error means actual EPS falls short of the preannouncement forecast.
- A less negative forecast error means realized earnings are better relative to expectations.

Interpretation. Since analyst forecasts tend to be optimistic, the key comparison is not whether forecast errors are negative, but whether addition firms' errors are less negative than benchmark firms' errors.

3.7 Standardized forecast errors

The paper also uses

$$\text{PFError}_i = \frac{\text{AE}_i - \text{FE}_{i,-}}{P_{i,-}} \quad (9)$$

and

$$\text{EFError}_i = \frac{\text{AE}_i - \text{FE}_{i,-}}{\text{FE}_{i,-}}. \quad (10)$$

Interpretation. These standardizations are analogous to those used for forecast changes and make forecast errors comparable across firms with different prices and EPS levels.

3.8 Statistical tests

- Frequency comparisons in Figures 1 and 2 use binomial sign tests.
- Table I reports p-values for whether mean forecast changes or mean differences differ from zero.
- Table II uses bootstrapped p-values for forecast-error differences because the distribution of forecast errors is skewed.

Interpretation. The statistical design recognizes two separate issues: analyst forecasts drift downward mechanically through the fiscal year, and forecast errors are not symmetrically distributed.

4 Identification and empirical design

4.1 What identifies the information content

- If S&P 500 inclusion is information-free, analyst forecast changes for added firms should look like forecast changes for comparable nonadded firms.
- If added firms receive more positive revisions than benchmarks, the event has apparent information content.
- If realized earnings are better relative to forecasts than benchmark firms' realized earnings, the information interpretation is strengthened.

Interpretation. The paper does not rely only on stock prices. It looks directly at expectations and ex post earnings.

4.2 Why benchmark firms are essential

- Prior forecast literature shows that analysts often “walk down” forecasts during the fiscal year.
- Therefore, a raw zero or slightly negative forecast change for an added firm may still be good news if other firms' forecasts are revised down more.
- The all-other-firms benchmark captures the broad I/B/E/S forecast drift.
- The ISL benchmark captures drift among firms similar in industry, size, and liquidity.

Interpretation. The main comparison is relative. Newly added firms are not necessarily receiving large raw upward revisions; instead, they avoid the benchmark firms' large downward revisions.

4.3 Why realized earnings matter

- Analyst forecast changes could reflect optimism or attention rather than true performance.
- Realized EPS tests whether additions beat expectations more than benchmark firms.
- Table II shows that addition firms' forecast errors are less negative, especially after standardization.

Interpretation. The realized-earnings evidence makes it harder to dismiss the forecast revisions as purely mechanical analyst behavior.

4.4 What the design cannot distinguish

The paper is careful about causal interpretation. The evidence cannot fully distinguish:

- **Index inclusion causes performance improvement:** addition leads to more scrutiny, higher managerial effort, or reputational pressure.
- **S&P selects better future performers:** S&P may implicitly or unknowingly identify firms with improving prospects.

Interpretation. Either channel undermines the “information-free” assumption. But the causal mechanism matters for understanding why earnings expectations improve.

4.5 Relation to downward-sloping demand curves

- The paper does not prove that demand curves for stocks are flat.
- It also does not rule out a contemporaneous demand effect from index-fund buying.
- The key contribution is to show that S&P 500 addition is not a clean demand-only shock.
- Therefore, demand-curve tests using S&P additions must separate demand effects from information effects.

Interpretation. The paper weakens a central identification assumption in the index-addition literature.

4.6 Sensitivity analyses

The authors report that their conclusions are robust to several choices:

- alternative event-study methods;
- using mean analyst forecasts instead of median forecasts;
- alternative timing rules for current-year and one-year-ahead forecasts;
- including forecasts from new analysts;
- using SIC-and-size matched benchmarks instead of Fama-French industry, size, and liquidity matching;
- using I/B/E/S consensus median and mean forecasts;
- restricting current-year tests to the 139 firms that also have one-year-ahead forecasts.

Interpretation. The robustness checks reduce concern that the main results come from an arbitrary forecast-window or benchmark definition.

5 Tables and figures

The paper has two figures and two main tables. To save space and improve comparison, adjacent visual material is grouped. All visuals below are directly cropped from the original paper.

5.1 Figures 1–2: EPS forecast revisions around S&P 500 additions

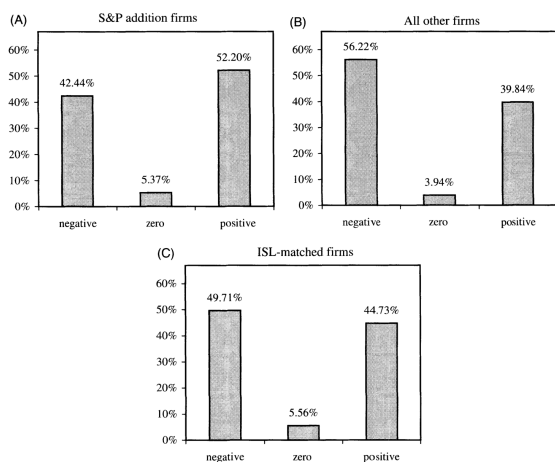
Read: Figure 1: Current-year EPS forecast changes.

- For S&P addition firms, 52.20% of current-year EPS forecast changes are positive and 42.44% are negative.
- For all other firms, only 39.84% are positive and 56.22% are negative.
- For ISL-matched firms, 44.73% are positive and 49.71% are negative.
- Addition firms therefore experience much more favorable current-year forecast revisions than both benchmarks.

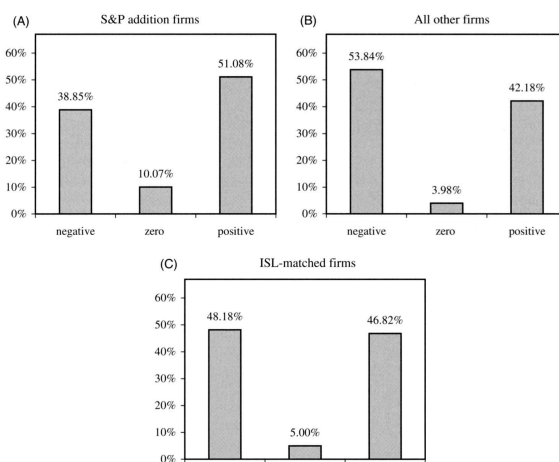
Read: Figure 2: One-year-ahead EPS forecast changes.

- For S&P addition firms, 51.08% of one-year-ahead EPS forecast changes are positive and 38.85% are negative.
- For all other firms, 42.18% are positive and 53.84% are negative.
- For ISL-matched firms, 46.82% are positive and 48.18% are negative.
- The same pattern holds at the longer forecast horizon.

Economic message. Analysts are more likely to increase forecasts and less likely to decrease forecasts for newly added S&P 500 firms than for comparable firms. This is direct evidence against the view that index addition is information-free.



(a) Figure 1: current-year EPS forecast changes.



(b) Figure 2: one-year-ahead EPS forecast changes.

5.2 Table I: Changes in analysts' EPS forecasts

Read:

- Panel A reports current-year forecast changes for 205 additions.
- The raw current-year EPS forecast change for addition firms is $-\$0.0066$ and is not statistically significant.

- The corresponding benchmark changes are much more negative: $-\$0.0717$ for all other firms and $-\$0.0278$ for ISL-matched firms.
- The current-year benchmark-adjusted differences are positive: $+\$0.0651$ versus all other firms and $+\$0.0212$ versus ISL-matched firms.
- The price-standardized current-year difference is 0.64% versus all other firms and 0.11% versus ISL-matched firms.
- The EPS-standardized current-year difference is 6.52% versus all other firms and 1.55% versus ISL-matched firms.
- Panel B reports one-year-ahead forecast changes for 139 additions.
- The one-year-ahead benchmark-adjusted raw differences are $+\$0.0565$ versus all other firms and $+\$0.0522$ versus ISL-matched firms.
- Standardized one-year-ahead differences are also positive and statistically significant.

Economic message. The main result is not that analysts dramatically raise raw forecasts for additions. It is that benchmark firms are revised downward while S&P additions are not. That relative forecast improvement is the information signal.

Table I
Changes in Analysts' Eps Forecasts for Companies Added to the S&P 500 Index

Forecasts of eps are taken from Institutional Brokers' Estimates System International, Inc. (I/B/E/S) for a sample of 205 companies added to the S&P 500 Index over the period 1987 to 1999. Median eps forecasts preceding the month of announcement that a company will be added to the Index are compared with eps forecasts following the announcement month to calculate the change in eps forecasts. The change in eps forecast is calculated for current-year eps forecasts and for one-year-ahead eps forecasts. Changes in eps forecasts for all other firms reported in I/B/E/S with eps forecasts that are contemporaneous with the eps forecasts of the newly added stocks are used as one benchmark ("All Other Firms"). Changes in eps forecasts for firms in the same Fama-French 12 Industry portfolios and the same size and liquidity portfolios as the newly added firms and with eps forecasts that are contemporaneous with the eps forecasts of the newly added stocks are used as a second benchmark ("ISL-Matched Firms"). The "Mean Difference" is the average of the differences between the newly added stocks' change in eps forecast and the mean of their respective benchmark sample changes in eps forecasts. The *p*-values in parentheses test whether the numbers above are significantly different from zero.

Sample		Comparison with All Other Firms			Comparison with ISL-Matched Firms		
		1	2	3	4	5	6
		Sample Size	Mean Δ eps Forecast for S&P Index Addition Firms	Mean Δ eps Forecast for All Other Firms	Mean Difference (col. 2 - col. 3)	Mean Δ Eps Forecast for ISL-Matched Firms	Mean Difference (col. 2 - col. 5)
Panel A: Changes in Current-Year Eps Forecasts							
Eps forecast change	205	$-\$0.0066$ (0.623)	$-\$0.0717$ (< 0.001)	$\$0.0651$ (< 0.001)	$-\$0.0278$ (< 0.001)	$\$0.0212$ (0.099)	
Eps forecast change standardized by price	205	-0.07% (0.041)	-0.71% (< 0.001)	0.64% (< 0.001)	-0.18% (< 0.001)	0.11% (0.041)	
Eps forecast change standardized by eps	203	0.58% (0.445)	-5.94% (< 0.001)	6.52% (< 0.001)	-0.98% (< 0.001)	1.55% (0.011)	
Panel B: Changes in One-Year-Ahead Eps Forecasts							
Eps forecast change	139	$-\$0.0069$ (0.569)	$-\$0.0634$ (< 0.001)	$\$0.0565$ (0.001)	$-\$0.0591$ (< 0.001)	$\$0.0522$ (0.047)	
Eps forecast change standardized by price	139	-0.07% (0.101)	-0.56% (< 0.001)	0.49% (0.001)	-0.19% (< 0.001)	0.12% (0.010)	
Eps forecast change standardized by eps	139	0.10% (0.040)	-8.82% (< 0.001)	5.59% (0.001)	-0.73% (< 0.001)	2.49% (0.004)	

Table 1: Changes in analysts' EPS forecasts for companies added to the S&P 500 Index.

5.3 Table II: EPS forecast errors for companies added to the S&P 500 Index

Read:

- Forecast error is actual EPS minus the preannouncement median EPS forecast.
- Panel A reports current-year forecast errors for 199 additions.
- The current-year raw forecast error for addition firms is $-\$0.1441$.
- The benchmark errors are more negative: $-\$0.2951$ for all other firms and $-\$0.2433$ for ISL-matched firms.
- The benchmark-adjusted current-year differences are $+\$0.1510$ versus all other firms and $+\$0.0992$ versus ISL-matched firms.
- Price-standardized and EPS-standardized current-year differences are strongly positive and statistically significant.
- Panel B reports one-year-ahead forecast errors for 132 additions.

- Raw one-year-ahead differences are positive but not statistically significant.
- Standardized one-year-ahead differences are positive and significant: 2.22% by price and 20.83% by EPS versus all other firms; 1.03% by price and 9.87% by EPS versus ISL-matched firms.

Economic message. Realized earnings support the forecast-revision evidence. Newly added firms perform better relative to analysts' preaddition expectations than benchmark firms do.

Table II
EPS Forecast Errors for Companies Added to the S&P 500 Index

Forecasts of eps and actual eps are taken from Institutional Brokers' Estimates System International, Inc. (I/B/E/S) for a sample of 199 companies added to the S&P 500 Index over the period 1987 to 1999. Median eps forecasts preceding the month of announcement that a company will be added to the Index are compared with actual eps to calculate the eps forecast error. The eps forecast error is calculated for current-year eps forecasts and for one-year-ahead eps forecasts. The eps forecast errors for all other firms reported in I/B/E/S with eps forecasts that are contemporaneous with the eps forecasts of the newly added stocks are used as one benchmark ("All Other Firms"). The eps forecast errors for firms in the same Fama-French 12 Industry portfolios and the same size and liquidity portfolios as the newly added firms and with eps forecasts that are contemporaneous with the eps forecasts of the newly added stocks are used as a second benchmark ("ISL-Matched Firms"). The "Mean Difference" is the average of the differences between the newly added stocks' eps forecast error and the mean of their respective benchmark sample eps forecast errors. The *p*-values in parentheses test whether the mean differences in forecast errors are significantly different from zero. The *p*-values are computed using a bootstrapping procedure.

Sample	1	Comparison with All Other Firms			Comparison with ISL-Matched Firms	
		2	3	4	5	6
	Sample Size	Mean Forecast Error for S&P Index Addition Firms	Mean Forecast Error for All Other Firms	Mean Difference (col. 2 - col. 3)	Mean Forecast Error for ISL-Matched Firms	Mean Difference (col. 2 - col. 5)
Panel A: Current-Year Eps Forecast Errors						
Eps forecast error	199	\$ - 0.1441	\$ - 0.2951	\$0.1510 (0.003)	\$ - 0.2433	\$0.0992 (0.053)
Eps forecast error standardized by price	199	- 0.52%	- 2.82%	2.30% (< 0.001)	- 2.01%	1.48% (0.001)
Eps forecast error standardized by eps	199	- 4.85%	- 25.79%	20.94% (< 0.001)	- 18.49%	13.64% (< 0.001)
Panel B: One-Year-Ahead EPS Forecast Errors						
Eps forecast error	132	\$ - 0.3554	\$ - 0.4639	\$0.1085 (0.107)	\$ - 0.3799	\$0.0245 (0.518)
Eps forecast error standardized by price	132	- 1.13%	- 3.35%	2.22% (0.002)	- 2.16%	1.03% (0.002)
Eps forecast error standardized by eps	132	- 11.58%	- 32.41%	20.83% (0.007)	- 21.45%	9.87% (0.029)

Table 2: EPS forecast errors for companies added to the S&P 500 Index.

6 Short summary

- The paper asks whether S&P 500 index additions are information-free.
- This matters because S&P addition studies are widely used to test whether demand curves for stocks slope downward.
- The authors study 1987-1999 S&P 500 additions.
- After excluding spinoffs, merger replacements, name changes, and one uncertain case, there are 236 eligible additions.
- Announcement-period stock returns are positive: the average two-day excess return is 4.65%.
- The post-inclusion 30-day cumulative excess return is not significantly negative, so the price increase appears persistent.
- The forecast tests use I/B/E/S median analyst EPS forecasts.
- The current-year forecast-change sample has 205 additions.
- The one-year-ahead forecast-change sample has 139 additions.
- Forecast changes are compared with two benchmarks: all other I/B/E/S firms and industry-size-liquidity matched firms.
- Analysts are more likely to increase EPS forecasts for additions than for benchmark firms.
- Raw EPS forecast changes for additions are not strongly positive, but benchmark changes are much more negative.
- The benchmark-adjusted current-year forecast difference is +\$0.0651 versus all other firms and +\$0.0212 versus ISL-matched firms.

- The benchmark-adjusted one-year-ahead forecast difference is +\$0.0565 versus all other firms and +\$0.0522 versus ISL-matched firms.
- Realized EPS forecast errors are less negative for additions than for benchmark firms.
- Current-year forecast errors are −\$0.1441 for additions, −\$0.2951 for all other firms, and −\$0.2433 for ISL-matched firms.
- One-year-ahead raw forecast-error differences are positive but not statistically significant, while standardized differences are significant.
- Robustness checks using alternative matching, timing, and forecast definitions do not change the conclusions.
- The paper cannot determine whether index inclusion causes better performance or S&P selects firms with better future prospects.
- Either way, S&P 500 additions have information content and should not be treated as clean demand-only shocks.

7 Conclusion

7.1 Core conclusion

Denis, McConnell, Ovtchinnikov, and Yu show that S&P 500 index additions are associated with improved analyst expectations and better realized earnings relative to preaddition expectations and benchmark firms. This evidence rejects the maintained assumption that index additions are information-free.

7.2 Economic intuition

The information content may arise in two ways. First, inclusion might cause improved performance by increasing management scrutiny, reputational pressure, and investor attention. Second, S&P might select firms whose prospects are improving, even if it does not formally claim to endorse those firms. In either case, the announcement communicates value-relevant information to the market.

7.3 Takeaway

The paper does not deny that demand curves for stocks may slope downward. Instead, it warns that S&P 500 additions are not clean tests of that hypothesis. Any empirical design using index additions to infer demand-curve effects must separate the demand shock from the earnings-expectations channel.